

OutReach Networks – First Venture Round

Investment Memo for Founders: Negotiation Strategy
with Everest Partners

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Source: [Excel sheet](#) and [VCM dashboard for sensitivity analysis](#)





What Makes ORN Unique

Typical vs Atypical Startup Traits

Typical Traits

- Operates in a fast changing Tech Space
- Significant competition and entry risk
- Strong dependence on founders: key person risks
- High risk, uncertain returns

Atypical Traits

- Profitable since day one (rare)
- Revenue: \$9M (2009) → \$63M (2011) already profitable
- ~27% operating margins by 2011
- Lean ~100-employee operation

OutReach Networks stands apart from typical startups. With no prior VC rounds, the founder still holds 75% equity—unusually high and reflecting ORN's self-funded growth and success. This profitability from inception dramatically reduces investment risk compared to cash-burning ventures.

75%

Founder Ownership

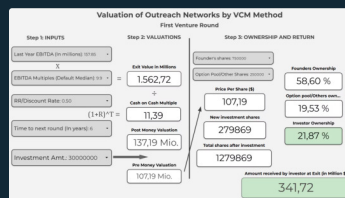
Retained equity stake

VCM Valuation Summary

The Venture Capital Method reveals how exit value and required return impact present valuation. With an assumed exit value of ~\$1.56B in 6 years (~\$158M EBITDA × ~10x multiple), we can calculate what stake Everest needs for their target returns.

O1

Calculation and Sensitivity Analysis



O2

Exit Assumption

~\$1.56B exit value in 6 years based on ~\$158M EBITDA
× ~10x EBITDA multiple

O3

50% IRR Target

VCs seek 50% annual return (~11.4x cash-on-cash over 6 years) – implies ~\$137M post-money valuation (\$107M pre-money)

O4

Ownership Calculation

A \$30M investment at this value yields ~22% ownership for Everest

- ❏ **Key Insight:** Valuation is highly sensitive to required IRR. At 60% return requirement, pre-money drops to ~\$63M and investor ownership increases to ~32%; at 40% IRR, pre-money rises to ~\$177M & investor ownership decreases to ~14.5%.

Higher demanded return = lower today's valuation and larger equity stake for the same \$30M.

Source: [Enclosed excel sheet](#) and [VCM dashboard for sensitivity analysis](#)

DCF Valuation Summary

Much Higher Intrinsic Value

Using a discounted cash flow approach with ~13.6% discount rate (WACC via CAPM) and modest 4% long-term growth, ORN's enterprise value reaches approximately **\$600M**—dramatically higher than Everest's implied valuation.

At ~\$600M valuation, a \$30M investment would represent only ~5% of the firm, highlighting how conservative Everest's ~\$100M valuation is by comparison.

5%

Fair Stake

At DCF valuation

22%

VCM Stake

At 50% IRR target

30%

Everest Ask

Current offer

Even in a downside case where we cut ORN's projected cash flows in half (very conservative), the DCF valuation remains **well above** Everest's offer—still on the order of ~\$300M+, multiple times the \$100M post-money.

ORN's profitability and stable growth prospects support a significantly higher valuation than the VC method suggests.

Source: [Enclosed excel sheet](#) and [VCM dashboard for sensitivity analysis](#)

Ownership Ask vs. Justified Stake

Is 30% Fair?



Everest's Offer

\$30M for 30% equity (implies ~\$100M post-money valuation as per VCM)



Founders' View

\$30M for 15% equity (\$200M post-money)—a stark valuation gap



VCM Benchmark

~22% stake (post ~\$137M) would satisfy 50% target return—Everest's 30% ask overshoots what's needed



DCF Benchmark

Intrinsic value (~\$600M) indicates \$30M merits only ~5% ownership—30% stake appears very high

Everest's Rationale

Everest argues that \$30M is much larger than the average Series A round (recent average ~\$5M), warranting a bigger equity share. However, ORN is a later-stage, profitable company—not a typical cash-burning startup.

Conclusion

A 30% stake seems excessive given ORN's performance and valuation indicators. The fair range by analysis is closer to ~20%. Founders are justified in pushing for significantly lower equity dilution.

Source: [Enclosed excel sheet](#) and [VCM dashboard for sensitivity analysis](#)

Negotiation Anchor Points

Founders' Leverage

ORN holds multiple strong negotiating positions that justify pushing back on Everest's 30% equity ask. Here are the key leverage points to emphasize:



Proven Business

ORN has been profitable with ~30% margins and fast growth from the start—far lower risk than a typical early-stage startup. Use this to argue for a higher valuation; the company is not an unknown quantity.



Valuation Data

Push back on the 30% ask with numbers. VCM analysis shows investor can reach target returns with 20% ownership, not 30%. While \$30M is 6x the norm, ORN's scale and traction justify a premium valuation.



Market Upside

Emphasize ORN's unique tech and huge underserved market opportunity (global internet access gap). This future upside warrants valuing the company at the higher end—don't sell a disproportionate stake when the growth runway is so promising.



Alternatives Exist

ORN isn't cash-starved—it has been thriving without VC money. Make clear (tactfully) that the team can seek other investors or even delay fundraising rather than accept a lowball offer. This strengthens the founders' negotiating position.



Partnership, Not Just Money

Acknowledge Everest's non-monetary value (expertise, network) but assert that alignment matters. The founders are looking for a fair partnership—Everest's support is welcome, but not at the cost of excessive dilution.

Recommended Counteroffer Strategy

Aim for 20% Equity

Target a compromise around **20% equity for the \$30M investment**. This anchors near the founders' original 15% idea while acknowledging Everest's interest—essentially splitting the difference. This would value ORN at ~\$120–150M pre-money, versus Everest's ~\$70M pre.



Support with Logic

Clearly demonstrate that at ~20% stake, Everest can still achieve an attractive ~10x return on exit—comfortably within VC norms—thanks to ORN's strong projections. This equitable split lets Everest profit handsomely without unduly penalizing the founders' ownership.



Offer Concessions

To bridge the valuation gap, give Everest added comfort through terms rather than equity. Offer a board seat or observer role and commit to initiatives Everest values (e.g. formalizing IP patents and bolstering the management team).



Leverage (Quietly)

A polite reminder that ORN has options can be powerful. Indicate preference for partnering with Everest, but be prepared to approach other investors or continue growing organically if the deal isn't fair.

Final Stance

Close the deal at a **reasonable mid-20s% equity stake** if possible. If Everest insists on ~30% with no flexibility, be ready to walk away. The recommended strategy is to secure the growth capital **while preserving founder control**—a balanced outcome that rewards both parties and sets ORN up for long-term success.

Thank You

